

Oh, all of it. I had no understanding of proper diversification and money management at the time. By the time I got to check on prices, my account was down 50 percent. My broker was telling me, “Don’t sell. Don’t sell.”

So what did you do?

I sold it all. I just took the loss.

In that particular case, getting out turned out to be the wrong thing to do.

I thought to myself, I had £30,000, and now I have £15,000. I can still have a good time at university with that amount in the next few years.

That was it for how long?

Not very long. Very soon after I bought shares in a stock that had gotten crushed, which rebounded a lot. So I made some money back on that.

So far, we have only talked about the trend-following system. How much of BlueCrest’s trading is systematic?

We run approximately \$29 billion [updated as of end of 2011], which is about evenly divided between systematic and discretionary approaches. Interestingly, for the prior three calendar years [2008 to 2010⁴], we made almost identical returns in both systematic and discretionary strategies, but with a better Sharpe ratio on the human side.

Which markets are traded in the discretionary strategy?

The big three are fixed income, credit, and emerging markets.

What about equities?

We don’t trade equities except for one small program.

Why not?

It’s too qualitative; I prefer quantitative approaches.

Can’t equities be quantitative?

We do have a small program, which is a systematic program trading single stocks. It is basically an intelligent market maker. It models the price of every stock, using all of the other stock prices as the input. It looks for divergence. If, for example, Fidelity decides to liquidate a given stock, their selling will probably push the stock out of line with the